

PRELIM QUIZ 3: ITEC84

Instructions: Choose the best answer for each question.

1. Outsourcing is best defined as:

- a) Expanding business operations overseas
- b) Hiring another firm's employees to perform tasks previously done in-house
- c) Investing in new technology
- d) Increasing marketing efforts

2. Outsourcing is only used by large corporations.

- a) True
- b) False

3. Companies typically use outsourcing to save on:

- a) Time
- b) Costs
- c) Effort
- d) Resources

4. Which of the following is NOT typically a reason to outsource?

- a) Savings in labor costs
- b) Growing global market share
- c) Increased internal bureaucracy
- d) Access to skill sets

5. According to Federal Law in the US, companies can defer payment of tax on profits earned abroad:

- a) True
- b) False

6. Outsourcing helps higher-income earning countries to:

- a) Focus on manufacturing
- b) Move to higher segments of the value-added chain
- c) Decrease international trade
- d) Reduce technological innovation

7. By outsourcing specialized jobs, companies can focus on their _____ business.

- a) Peripheral
- b) Secondary
- c) Core
- d) Minor

8. A growing shortage of skilled workers in the US has prompted companies to:

- a) Reduce employee benefits
- b) Look for skill sets elsewhere
- c) Increase automation
- d) Decrease production

9. Government outsourcing always transfers control to a third party.

- a) True
- b) False

10. Which of the following is NOT a commonly outsourced service in the public sector?

- a) Back office support
- b) Customer care
- c) Core government policymaking
- d) Human resources

11. Government agencies partner with IT providers to improve service quality and reduce costs through process:

- a) Automation
- b) Enhancement
- c) Reengineering
- d) Modification

12. Legal Process Outsourcing (LPO) involves:

- a) Outsourcing legal services from a third party
- b) Moving legal departments overseas
- c) Creating new laws
- d) Ignoring legal regulations

13. LPO is decreasing in India.

- a) True
- b) False

14. Which of the following is a common reason for outsourcing legal support?

- a) To increase legal complexity
- b) To access specialized legal expertise
- c) To reduce client interaction
- d) To avoid legal compliance

15. LPO offers law firms a chance to access high-level expertise from _____ teams.

- a) Local
- b) Regional
- c) Offshore
- d) Internal

16. Embracing digital infrastructure and incorporating more remote services is driven by:

- a) Decreasing customer expectations
- b) Increasing customer expectations and the COVID-19 pandemic
- c) Reducing technological advancements
- d) Avoiding remote work

17. LPO companies are typically not well-equipped with AI-based solutions.

- a) True
- b) False

18. A good legal outsourcing partner should have:

- a) Limited connections with law firms worldwide
- b) A network of connections with general counsels and law firms worldwide

- c) Only local connections
- d) No external connections

19. Having both on-site and off-site teams increases _____ in completing legal projects.

- a) Complexity
- b) Cost
- c) Efficiency
- d) Time

20. By outsourcing time-consuming legal tasks, law firms can:

- a) Focus on core operations
- b) Increase administrative overhead
- c) Reduce client interactions
- d) Decrease operational efficiency

21. Outsourcing always enhances customer service.

- a) True
- b) False

22. A common misconception about LPO is:

- a) It is always cost-effective
- b) It is only needed in dire situations
- c) It always improves work quality
- d) It is never time-consuming

23. Many small business owners believe that only big corporations need _____ services.

- a) Accounting
- b) Marketing
- c) Legal
- d) HR

24. Some legal professionals fear that outsourcing can violate:

- a) Company profits
- b) Client confidentiality
- c) Employee satisfaction
- d) Legal regulations

25. The time saved by outsourcing certain tasks is negligible compared to finding the right outsourcing service provider.

- a) True
- b) False

26. According to Federal Law in the US, companies can defer payment of tax on profits earned abroad:

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